

What is Value Destruction?

Value Destruction

- Due to unforeseen events and risk, the quality and quantity of earnings of any business can decline. It eventually weakens the fundamentals of the business.
- In such scenarios, value destruction happens when the real value starts declining instead of an upward trend. With time, the market price of stocks will also follow a similar pattern.
- In such circumstances, we will lose money and we would, be penalized for making bad investment decisions.

Reason

Our thesis while selecting a company went wrong due to multiple possible external or internal factors.

Value Destruction

Poor investment outcome.

We must be aware of the risks involved in the process of picking companies with different market or intrinsic values, especially when the market value is higher than the intrinsic value. We need a really good understanding of the quality of company that we are investing in. Losses will be incurred if wrong companies are picked.

Let's look at where our analysis might go wrong.